

Insurance — Principles, Types and Social Insurance

Chapter F7.1 — Module 7 in One Compact Chapter, and the Bridge to Social Security

Module	Foundation Layer — Module 7 — Insurance
Chapter	Chapter F7.1
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NOTE · WHY THIS CHAPTER IS SHORT ON PURPOSE

Insurance is genuinely in the APFC syllabus — head 5 names it alongside Accounting, Auditing, Industrial Relations and Labour Laws (OFFICIAL). But it produced **one question in the 2023 paper** (PYQ-DERIVED, Blueprint §3.1), and Blueprint §7.2 places *"insurance beyond principles and its role in social security"* squarely in the **deliberately low-yield** list.

So the whole of Module 7 is one chapter of about four hours, and it covers exactly what the Blueprint says is worth covering: **the principles**, and **the role in social security**. Nothing more. Spending fifteen hours here to chase three marks is the misallocation the entire Blueprint was written to prevent.

Read §1 and §4 properly. Skim §2 and §3.

HIGH YIELD · THE ONE REASON TO READ THIS CHAPTER CAREFULLY ANYWAY

Section 4 is not really about insurance. It is about **Module 3**.

The **ESI Act, 1948** is social insurance. The **EDLI Scheme, 1976** is life insurance framed under the **EPF & MP Act, 1952** — one of the three schemes you met in F6.1 §1.2. The principles in §1 are what make both of them work.

So the marks in this chapter are not really Module 7's three. They are the reinforcement of a ★★★★★ **block** you have already studied, arriving from a different direction — which is exactly the kind of second pass that makes knowledge survive to November.

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0. How This Chapter Works

STUDY SESSION · CHAPTER F7.1 — THE FOUR SESSIONS

1. **Session 1** — What insurance is, and the seven principles (§1) ★★★★★
2. **Session 2** — Types, and life versus general insurance (§2) ★★★★★
3. **Session 3** — Regulation and Indian institutional history (§3) ★★★★★
4. **Session 4** — Insurance as social security: the Module 3 bridge (§4) ★★★★★

Then 20 graded questions in §5. Roughly **two days** at two hours — and that is the whole of Module 7.

1. Session 1 — What Insurance Is, and the Seven Principles ★★★★★

1.1 The contract

Insurance is a contract — the **policy** — by which the **insurer** undertakes to indemnify the **insured** against a specified loss, in return for a **premium**.

It works by **pooling**: many people exposed to a similar risk each contribute a small, certain amount so that the few who suffer loss are compensated from the pool. The mathematics behind it is the **law of large numbers** — individual losses are unpredictable, but the aggregate is not.

That pooling logic is worth holding, because it is precisely the logic of **social insurance** in §4.

1.2 The seven principles

Principle	What it means
Insurable interest	The insured must stand to lose financially from the event insured against
Utmost good faith — <i>uberrimae fidei</i>	Both parties must disclose all material facts
Indemnity	The insured is restored to the position before the loss — no better
Subrogation	Having paid, the insurer acquires the insured's right to recover from the party responsible
Contribution	Where the same risk is insured with more than one insurer, each bears a proportionate share
Causa proxima	The nearest or dominant cause of the loss decides liability, not a remote one
Loss minimisation	The insured must take reasonable steps to reduce the loss

Seven principles; three of them behave differently for life insurance

MUST MASTER · THE THREE PRINCIPLES THAT DO NOT APPLY TO LIFE INSURANCE

This is the single most examinable point in the chapter.

Life insurance is NOT a contract of indemnity. A human life cannot be valued, so the insurer does not restore a measurable loss — it pays an agreed **sum assured**. Life insurance is therefore called a contract of **assurance** or a **benefit** policy. The same is true of personal accident cover.

Two consequences follow automatically, and both are asked:

1. **Subrogation does not apply to life insurance**, because subrogation is a **corollary of indemnity** — there is no measured loss to be recovered from anyone else
2. **Contribution does not apply either**, for the same reason. A person may hold several life policies and recover in full under each; that would be impossible under an indemnity contract

So the reliable wrong option is *"the principle of subrogation applies to life insurance"*. If you remember only that indemnity fails for life cover, you can derive the other two.

MUST MASTER · WHEN INSURABLE INTEREST MUST EXIST

Three different answers for three branches, and the exam uses the differences:

Branch	Insurable interest must exist
Life	At the time of taking the policy only
Fire and general	Both at inception and at the time of loss
Marine	At the time of loss

The logic is not arbitrary. You always have an interest in your own life, so inception is enough. A building you have sold is no longer yours, so fire cover needs interest at both ends. Marine cargo changes hands in transit, so the law looks to the moment of loss.

CHECK YOURSELF · SESSION 1

1. Define insurance. What two ideas make it work?
2. Name the seven principles
3. Which three do not apply to life insurance, and what single fact explains all three?
4. When must insurable interest exist in life, fire and marine insurance?
5. What is causa proxima? What is the duty of loss minimisation?

2. Session 2 — Types, and Life versus General ★★☆☆☆

2.1 The two branches

Life insurance: whole life, term assurance, endowment, money-back, unit-linked (ULIP), annuities and pension plans.

General or non-life insurance: **fire**; **marine** (hull, cargo and freight); **motor** — in which **third-party cover** is **compulsory** under the motor vehicles law; **health**; **liability**; fidelity guarantee; crop; and miscellaneous.

2.2 The comparison

	Life insurance	General insurance
Nature	A contract of assurance	A contract of indemnity
Term	Long-term	Usually annual
Insurable interest	At inception only	At inception and at loss
Amount payable	The agreed sum assured	The actual loss , capped at the sum insured
Subrogation and contribution	Do not apply	Apply
Element of saving	Often present	Absent

2.3 Three arrangements that spread risk

Term	What it is
Reinsurance	An insurer insures part of the risk it has accepted with another insurer
Co-insurance	Two or more insurers share one risk from the outset
Double insurance	The insured covers the same risk with more than one insurer — this is where contribution operates

COMMON UPSC TRAP · REINSURANCE VERSUS DOUBLE INSURANCE

The distinction is **who** does the insuring.

- **Reinsurance** — the **insurer** passes on part of the risk. The original insured is not involved
- **Double insurance** — the **insured** takes more than one policy on the same subject

Both spread risk, and the words are close enough that options rely on the confusion. Ask whose decision it was.

CHECK YOURSELF · SESSION 2

1. Name four kinds of life policy and five kinds of general insurance
2. Which motor cover is compulsory?
3. Give five differences between life and general insurance
4. Distinguish reinsurance, co-insurance and double insurance

3. Session 3 — Regulation and Indian History ★★☆☆

3.1 The regulator

Item	Detail
Body	IRDAI — Insurance Regulatory and Development Authority of India
Established under	The IRDA Act, 1999
Headquarters	Hyderabad
Status	A statutory body
Functions	Registration of insurers; protection of policyholders' interests ; regulation of terms and rates; licensing of intermediaries

The opening of the sector followed the recommendations of the **Malhotra Committee (1993)**.

Grievances are addressed through the **Insurance Ombudsman** mechanism.

3.2 The statutory landmarks

Year	Development
1938	The Insurance Act, 1938 — the principal consolidating statute
1956	The LIC Act, 1956 — life insurance nationalised , LIC formed
1972	The General Insurance Business (Nationalisation) Act, 1972 — general insurance nationalised, GIC formed
1999	The IRDA Act, 1999 — the sector reopened to private participation, IRDAI created
2021	The Insurance (Amendment) Act, 2021 — FDI raised to 74%

COMMON UPSC TRAP · WHICH ACT NATIONALISED WHAT

Two nationalisations, sixteen years apart, and the exam swaps them:

- **Life** insurance — the **LIC Act, 1956**
- **General** insurance — the **General Insurance Business (Nationalisation) Act, 1972**

And do not confuse either with the **Insurance Act, 1938**, which is the regulatory statute, or the **IRDA Act, 1999**, which created the regulator and *reversed* the monopoly.

FDI was raised from 49% to **74%** in **2021**. Verify the current figure before the examination — this is the kind of number that changes, and Blueprint §14 requires the latest position to be confirmed for anything current.

CHECK YOURSELF · SESSION 3

1. Under which Act was IRDAI established, and where is it based?
2. Which committee recommended opening the sector?
3. Which Act nationalised life insurance? Which nationalised general insurance?
4. What is the current FDI ceiling, and when was it raised?

4. Session 4 — Insurance as Social Security ★★★★★

This is the section that earns the chapter its place. Everything here is simultaneously Module 7 and Module 3.

4.1 The difference between commercial and social insurance

	Commercial insurance	Social insurance
Participation	Voluntary	Usually compulsory by statute
Premium	Reflects individual risk	Contributions by employer and employee , often with State support
Objective	Profit and risk transfer	Social protection and redistribution
Governed by	Contract	Statute

The pooling logic of §1.1 is identical in both. What changes is that the State makes participation compulsory, because those who most need cover are least likely to buy it voluntarily.

4.2 The statutory social insurance schemes — the Module 3 overlap

MUST MASTER · THE TWO STATUTORY SCHEMES YOU WILL ADMINISTER OR ENCOUNTER

EDLI — the Employees' Deposit Linked Insurance Scheme, 1976. Framed under the **EPF & MP Act, 1952**, and the third of the three schemes named in F6.1 §1.2 alongside the EPF Scheme and the Pension Scheme 1995. It provides **life insurance cover linked to the member's provident fund balance**, with a **maximum assurance benefit of ₹7 lakh**.

Note what this demonstrates about the ladder from F6.1 §1.2: EDLI is a **Scheme** on rung 3, framed under an **Act** on rung 2. Insurance delivered by delegated legislation under a provident fund statute.

ESI — the Employees' State Insurance Act, 1948. The classic Indian social insurance statute, providing sickness, maternity, disablement, dependants' and medical benefits. Its constitutional authority is **Entry 23 of the Concurrent List** — "social security and social insurance" — the entry you met in the Foundation Polity chapter.

4.3 The scheme-based social insurance

Scheme	Cover	Notes
PMJJBY — Pradhan Mantri Jeevan Jyoti Bima Yojana	₹2 lakh life cover	Ages 18 to 50; annual premium ₹436
PMSBY — Pradhan Mantri Suraksha Bima Yojana	₹2 lakh for accidental death or permanent total disability; ₹1 lakh for partial	Ages 18 to 70; annual premium ₹20
Ayushman Bharat PM-JAY	₹5 lakh per family per year, health	The largest health assurance scheme
Atal Pension Yojana	Guaranteed pension of ₹1,000 to ₹5,000 a month	Old-age income security

NOTE · ON THESE FIGURES

Premium amounts and cover limits under government schemes are **revised periodically** — the PMJJBY premium, for instance, was revised upward from its launch level. The figures above are the latest I can state with confidence, and the ₹7 lakh EDLI maximum and ₹5 lakh PM-JAY cover are the most stable of them.

Consistent with the Blueprint's evidence discipline: treat scheme **amounts** as the most perishable facts in this manual and confirm them close to the examination. The **structure** — which scheme covers what risk, and under which statute — does not change and is what is usually asked.

FROM YOUR OWN WORLD · BANCASSURANCE, AND WHY YOU HAVE ALREADY SOLD THIS

PMJJBY and PMSBY are distributed overwhelmingly **through banks** — the premium is auto-debited from a savings account, and enrolment happens at the branch. You have almost certainly enrolled customers into both.

That distribution model is **bancassurance**, and it is the reason these two schemes reached the scale they did: the banking network solved the distribution problem that had kept voluntary micro-insurance tiny. Note the connection to §4.1 — the State made the cover cheap and compulsory-by-default at the point of sale, rather than compulsory by statute.

CHECK YOURSELF · SESSION 4

1. Give four differences between commercial and social insurance
2. Under which Act is EDLI framed? What is its maximum benefit? Which rung of the ladder is it on?
3. Which Concurrent List entry authorises the ESI Act?
4. Match cover amounts: PMJJBY, PMSBY, PM-JAY
5. Which of the facts in §4.3 should you re-verify before the exam, and why?

5. Graded Practice — 20 Questions ★★☆☆☆

5.1 Level 1 — Recognition

- Q1.** The principle that the insured should be restored to the position occupied before the loss, and no better, is (a) subrogation (b) contribution (c) causa proxima (d) indemnity
- Q2.** The principle of indemnity does **not** apply to (a) fire insurance (b) life insurance (c) marine insurance (d) motor insurance
- Q3.** *Uberrimae fidei* refers to the principle of (a) indemnity (b) insurable interest (c) utmost good faith (d) contribution
- Q4.** The right of the insurer, after settling a claim, to recover from the third party responsible for the loss is called (a) subrogation (b) contribution (c) loss minimisation (d) reinsurance
- Q5.** IRDAI was established under (a) the LIC Act, 1956 (b) the General Insurance Business (Nationalisation) Act, 1972 (c) the Insurance Act, 1938 (d) the IRDA Act, 1999
- Q6.** The headquarters of IRDAI is at (a) Mumbai (b) Hyderabad (c) New Delhi (d) Chennai
- Q7.** The rule that the nearest or dominant cause of a loss determines liability is (a) causa proxima (b) *uberrimae fidei* (c) indemnity (d) contribution

5.2 Level 2 — Understanding

- Q8.** In life insurance, insurable interest must exist (a) at the time of loss only (b) both at inception and at the time of loss (c) at the time of taking the policy (d) at no stage at all
- Q9.** In marine insurance, insurable interest must exist (a) at inception only (b) at no stage (c) both at inception and at the time of loss (d) at the time of loss
- Q10.** Subrogation is a corollary of the principle of (a) contribution (b) indemnity (c) utmost good faith (d) insurable interest
- Q11.** Where an insurer insures with another insurer a part of the risk it has already accepted, the arrangement is called (a) double insurance (b) co-insurance (c) reinsurance (d) contribution
- Q12.** Under the EPF & MP Act, 1952 the scheme providing life insurance cover linked to a member's provident fund balance is (a) the Employees' Deposit Linked Insurance Scheme (b) the Employees' Pension Scheme (c) the Employees' Provident Fund Scheme (d) the Atal Pension Yojana
- Q13.** Third-party motor insurance in India is (a) optional for private vehicles (b) available only for commercial vehicles (c) not regulated by statute (d) compulsory
- Q14.** Foreign direct investment in the insurance sector was raised to 74% by the Insurance (Amendment) Act of (a) 2015 (b) 2021 (c) 1999 (d) 2019

5.3 Level 3 — Recruitment Test standard

Q15. Which one of the following statements is **not** correct? (a) The principle of subrogation applies to life insurance (b) Life insurance is not a contract of indemnity (c) In fire insurance, insurable interest must exist both at inception and at the time of loss (d) The principle of contribution applies only to contracts of indemnity

Q16. Consider the following statements:

1. Life insurance is a contract of assurance rather than a contract of indemnity.
2. The principle of contribution applies where the same risk is insured with more than one insurer.
3. The insured is under no duty to take steps to minimise the loss.

Which of the above statements are correct? (a) 1 and 3 only (b) 2 and 3 only (c) 1 and 2 only (d) 1, 2 and 3

Q17. Match List-I with List-II and select the correct answer using the code given below:

List-I	List-II
A. Utmost good faith	1. Disclosure of all material facts
B. Insurable interest	2. A financial stake in the subject matter
C. Subrogation	3. The insurer's right of recovery against a third party
D. Causa proxima	4. The nearest cause determines liability

(a) A-2 B-1 C-4 D-3 (b) A-1 B-2 C-4 D-3 (c) A-4 B-3 C-2 D-1 (d) A-1 B-2 C-3 D-4

Q18. The maximum assurance benefit under the Employees' Deposit Linked Insurance Scheme is (a) ₹2 lakh (b) ₹7 lakh (c) ₹5 lakh (d) ₹1 lakh

Q19. Under the Pradhan Mantri Suraksha Bima Yojana, the cover for accidental death or permanent total disability is (a) ₹1 lakh (b) ₹5 lakh (c) ₹2 lakh (d) ₹10 lakh

Q20. Life insurance in India was nationalised by (a) the LIC Act, 1956 (b) the General Insurance Business (Nationalisation) Act, 1972 (c) the Insurance Act, 1938 (d) the IRDA Act, 1999

6. Answers and Explanations

6.1 Level 1

Q	Ans	Explanation
1	d	Indemnity — restoration, never betterment. Payment is the actual loss or the sum insured, whichever is lower
2	b	Life insurance , because a human life cannot be valued. It is a contract of assurance , and the same is true of personal accident cover
3	c	Utmost good faith — and note the duty is mutual , not only on the insured
4	a	Subrogation — the insurer steps into the insured's shoes
5	d	The IRDA Act, 1999 . Options (a) and (b) are the two nationalisation statutes; (c) is the consolidating Act of 1938
6	b	Hyderabad
7	a	Causa proxima — the proximate, not the remote, cause

6.2 Level 2

Q	Ans	Explanation
8	c	At the time of taking the policy only — you always have an interest in your own life, so nothing more is needed
9	d	At the time of loss , because marine cargo changes hands in transit
10	b	Indemnity . This is why subrogation cannot apply to life insurance — there is no measured loss to recover
11	c	Reinsurance — the <i>insurer</i> passes on part of the risk. Double insurance is where the <i>insured</i> takes more than one policy
12	a	EDLI, 1976 . Note it is a Scheme framed under an Act — rung 3 under rung 2, in the F6.1 ladder
13	d	Compulsory — third-party liability cover is mandatory under the motor vehicles law
14	b	2021 , raising the ceiling from 49% to 74%

6.3 Level 3

Q	Ans	Explanation
15	a	Not correct — subrogation does not apply to life insurance, because it is a corollary of indemnity and life insurance is not an indemnity contract. The other three are correct, and (d) states the same underlying principle from the other direction
16	c	1 and 2 only. Statement 3 is false — loss minimisation is one of the seven principles: the insured must take reasonable steps to reduce the loss
17	d	A-1 B-2 C-3 D-4 — the four principles matched in order
18	b	₹7 lakh is the maximum assurance benefit under EDLI
19	c	₹2 lakh for accidental death or permanent total disability; ₹1 lakh for partial disability, which is option (a) placed as the distractor
20	a	The LIC Act, 1956 . The 1972 Act nationalised general insurance — sixteen years apart, and routinely swapped in options

THINK LIKE UPSC · THE THREE SHAPES IN THIS CHAPTER

1. **The indemnity chain.** Q2, Q10 and Q15 are one idea asked three ways. **Life insurance is not indemnity, therefore neither subrogation nor contribution applies.** One fact, three marks
2. **The timing table.** Q8 and Q9 exist only to test whether you know that insurable interest is required at **different moments** in life, fire and marine insurance. Learn the three-row table
3. **The statute swap.** Q5, Q14 and Q20 all rely on confusing **1938, 1956, 1972, 1999 and 2021**. Recite them as a chronology with what each did

7. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F7.1

INSURANCE a contract (**policy**) where the **insurer** indemnifies the **insured** for a **premium** · works by **pooling** and the **law of large numbers**

SEVEN PRINCIPLES insurable interest · **utmost good faith** (*uberrimae fidei*, a **mutual** duty) · **indemnity** · **subrogation** · **contribution** · **causa proxima** · **loss minimisation**

LIFE INSURANCE IS NOT INDEMNITY it is **assurance** · therefore **subrogation does NOT apply** · and **contribution does NOT apply** · same for personal accident cover

INSURABLE INTEREST TIMING **life** = at **inception** only · **fire and general** = **both** inception and loss · **marine** = at the **time of loss**

TYPES **life**: whole life, term, endowment, money-back, ULIP, annuity · **general**: fire, marine (hull, cargo, freight), **motor — third-party COMPULSORY**, health, liability, fidelity, crop

LIFE vs GENERAL assurance vs indemnity · long-term vs annual · interest at inception vs at both · sum assured vs actual loss · subrogation and contribution absent vs present

SPREADING RISK **reinsurance** = the **insurer** re-insures · **co-insurance** = shared from the outset · **double insurance** = the **insured** takes several policies, and **contribution** applies

REGULATOR IRDAI under the **IRDA Act, 1999** · headquarters **HYDERABAD** · statutory · protects policyholders' interests · **Malhotra Committee 1993** recommended opening up · **Insurance Ombudsman** for grievances

STATUTORY CHRONOLOGY **1938** Insurance Act (consolidating) · **1956 LIC Act — LIFE nationalised** · **1972 General Insurance Business (Nationalisation) Act — GENERAL nationalised** · **1999 IRDA Act — reopened, regulator created** · **2021 FDI raised to 74%**

COMMERCIAL vs SOCIAL INSURANCE voluntary vs **compulsory by statute** · risk-based premium vs **employer and employee contributions** · profit vs **social protection** · contract vs **statute**

EDLI 1976 framed under the **EPF & MP Act 1952** · life cover linked to the PF balance · maximum **₹7 lakh** · a **Scheme** on rung 3 under an **Act** on rung 2

ESI ACT 1948 social insurance — sickness, maternity, disablement, dependants', medical · constitutional basis **Entry 23 of the Concurrent List**

SCHEMES PMJJBY ₹2 lakh life, 18–50, premium **₹436** · **PMSBY** ₹2 lakh accident, 18–70, premium **₹20** · **PM-JAY** ₹5 lakh per family per year · **APY** ₹1,000–₹5,000 monthly pension

RE-VERIFY THE AMOUNTS scheme premiums and covers are revised periodically; the **structure** is stable, the **numbers** are not

8. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F7.1

LIFE IS NOT INDEMNITY » NO SUBROGATION, NO CONTRIBUTION — one fact, three marks

INTEREST TIMING: LIFE INCEPTION · FIRE BOTH · MARINE AT LOSS

SEVEN PRINCIPLES interest · good faith · indemnity · subrogation · contribution · causa proxima · loss minimisation

REINSURANCE = INSURER'S CHOICE · DOUBLE INSURANCE = INSURED'S CHOICE

IRDAI · IRDA ACT 1999 · HYDERABAD · MALHOTRA COMMITTEE 1993

1938 CONSOLIDATE · 1956 LIFE NATIONALISED · 1972 GENERAL NATIONALISED · 1999 REOPENED · 2021 FDI 74%

THIRD-PARTY MOTOR COVER IS COMPULSORY

EDLI 1976 · UNDER THE EPF & MP ACT 1952 · MAX ₹7 LAKH

ESI ACT 1948 · ENTRY 23 CONCURRENT LIST

PMJJBY ₹2 LAKH / ₹436 · PMSBY ₹2 LAKH / ₹20 · PM-JAY ₹5 LAKH

ONE LINE FOR THE INTERVIEW Insurance and social security rest on the same idea — pooling a risk that no individual can bear alone — and the only real difference is that social insurance makes participation compulsory, because the people who most need cover are the least likely to buy it voluntarily.

ACTION · MODULE 6 AND MODULE 7 ARE COMPLETE

That is the whole of **Accounting, Auditing, Statistics and Insurance** — eight Foundation chapters, F6.1 to F6.8 and F7.1.

Next in the study order (Blueprint §10.2, as recorded in the register): **Module 9 — General Science and Computer Applications**, worth 42.5 planning marks, and the block where a Mechanical Engineer converts fastest. Then Module 4 (lean), Module 10, and Module 11's mocks.

And do not forget Module 8. English, Quant and Reasoning are 80 planning marks and are meant to run **daily** in the evening slot, never as a block. If they are not already running, start them tomorrow — the statistics you have just finished in F6.8 is part of that same block.